1. weak global economic prospects.
2. uncertainties in the international financial markets.
3. sovereign risk concerns in the Euro area.
4. bad monsoons and the resultant crop loss.

Select the correct answer using the codes given below .

(a) 1 and 2 only (b) 1, 2 and 3
(c) 2 and 3 only (d) 2, 3 and 4

Ans. (b) : According to the passage, the financial markets in the emerging market economies including India had the adverse impact in recent years due to weak global economic prospects and continuing uncertainties in the international financial market and also sovereign risk concern in the Euro Area have had their negative impact on the emerging market economics.

19. The Indian financial markets are affected by global changes mainly due to the

(a) increased inflow of remittances from abroad.
(b) enormous increase in the foreign exchange reserves.
(c) growing global linkages and integration of the Indian financial markets.
(d) contagion of Greece's sovereign dept problem.

Ans. (c) : The Indian financial markets are affected by global changes mainly due to the growing global linkages and integration of the Indian financial markets.

20. According to the passage, in the Indian financial system, banks' ability to withstand stress is critical to ensure overall financial stability because Indian financial system is

(a) controlled by the Government of India.
(b) less integrated with banks.
(c) controlled by Reserve Bank of India.
(d) dominated by banks.

Ans. (d) : According to the passage, in the Indian financial systems banks ability to withstand stress is critical to ensure overall financial stability because Indian financial system is bank dominated system.

21. Risk and liquidity management assumes more importance in the Indian banking system in future due to

1. further globalization.
2. more consolidation and deregulation of the financial system.
3. further diversification of the financial system.
4. more financial inclusion in the economy.

Select the correct answer using the codes given below :

(a) 1, 2 and 3
(b) 2, 3 and 4
(c) 1 and 2 only
(d) 3 and 4 only

Ans. (a) : According to the passage, with further globalization, consolidation, deregulation and diversification of the financial system, the banking business may became more complex and riskier. Issues like risk and liquidity management and enhancing skill therefore assume greater significance. Thus option (a) is correct.

Directions for the following 2 (two) items :

Read the following passage and answer the two items that follow. Your answers to these items should be based on the passage only.

Passage

Crude mineral oil comes out of the earth as a thick brown or black liquid with a strong smell. It is a complex mixture of many different substances, each with its own individual qualities. Most of the are combinations of hydrogen and carbon in varying proportions. Such hydrocarbons are also found in other forms such as bitumen, asphalt and natural gas. Mineral oil originates from the carcasses of tiny animals and from plants that live in the sea. Over millions of years, these dead creatures from large deposits under the sea-bed; and ocean currents cover them with a blanket of sand and silt. As this mineral hardens, it becomes sedimentary rock and effectively shuts out the oxygen, so preventing the complete decomposition of the marine deposits underneath. The layers of sedimentary rock become thicker and heavier. Their pressure produces heat, which transfers the tiny carcasses into crude oil in a process that is still going on today.

22. Mineral oil deposits under the sea do not get completely decomposed because they

(a) are constantly washed by the ocean currents.
(b) become rock and prevent oxygen from entering them.
(c) contain a mixture of hydrogen and carbon.
(d) are carcasses of organisms lying in saline conditions.

Ans. (b) : According to the passage mineral oil deposits under the sea do not completely decomposed because as mineral hardens they became sedimentary rocks and effectively shuts out the oxygen, so preventing the complete decomposition of the marine deposits underneath.

23. Sedimentary rock leads to the formation of oil deposits because

(a) There are not saline conditions below it.
(b) It allows some dissolved oxygen to enter the dead organic matter below it.
(c) Weight of overlying sediment layers causes the production of heat.
(d) It contains the substances that catalyze the chemical reactions required to change dead organism into oil.

Ans. (c) : Sedimentary rock leads to the formation of oil deposits because the layers of sedimentary rock became thicker and heavier. Their pressure produces heat, which transfers the tiny carcasses into crude oil in a process that is till going on today.

REASONING AND ANALYTICAL EDIBILITY

24. Consider the following statements :

(i) A primary group is relatively smaller in size
(ii) Intimacy is an essential characteristic of a primary group.
(iii) A family may be an example of a primary group.

In the light of the above statements, which one of the following is true ?

(a) All families are primary groups.
(b) All primary groups are families
(c) A group of smaller size is always a primary group.
(d) Members of a primary group known each other intimately.

Ans. (d) As intimacy is an essential characteristic of a primary group. As members of a primary group knows each other intimately.

Direction for the following 4 (four) items :

Read the following statements and answer the four items that follow :

Five cities P, Q, R, S and T are connected by different modes of transport as follows :

P and Q connected by boat as well as rail.
S and R are connected by bus and boat.
Q and T are connected by air only.
P and R are connected by boat only.
T and R are connected by rail and bus.

P ←Boat/Rail→ Q
S ←Bus/Boat→ R
Q ←Air→ T
P ←Boat→ R
T ←Rail/Bus→ R

25. Which mode of transport would help one to reach R starting from Q, but without changing the mode of transport.

(a) Boat (b) Rail
(c) Bus (d) Air

Ans. (a) To reach R starting from Q without changing the mode of transport-

Q —Boat→ P —Boat→ R

Hence, the mode of transport = Boat.

26. If, a person visits each of the places starting from and P and gets back to P, which of the following places must he visit twice ?

(a) Q (b) R
(c) S (d) T

Ans. (b) The route, when a person visits each of the places starting from P and gets back to P-

P → Q → T → R → S → R → P

Hence, He will definitely go twice to the place R.

27. Which one of the following pairs of cities is connected by any of the routes directly without going to any other city ?

(a) P and T (b) T and S
(c) Q and S (Q and R) (d) None of these

Ans. (d) Option (A) : From P to T
Option (B): From T to S

T → R → S

Option (C): From Q to S/from Q to R

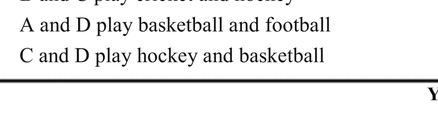
Q → P → R → S

None of these pairs of cities in connected by any of the routes directly without going to any other city.

28. Between which two cities among the pairs of cities given below are there maximum travel options available?

(a) Q and S (b) P and R
(c) P and T (d) Q and R

Ans. (a)



Maximum travel options are available between Q and S cities.

29. The music director of a film wants to select four persons to work on different aspects of the composition of a place of music. Seven persons are available for this work; they are Rohit, Tanya, Shobha, Kaushal, Kunal, Mukesh and Jaswant.

Rohit and Tanya will not work together
Kunal and Shobha will not work together
Mukesh and Kunal want to work together
Which of the following is the most acceptable group of people that can be selected by the music director?

(a) Rohit, Shobha, Kunal and Kaushal
(b) Tanya, Kaushal, Shobha and Rohit
(c) Tanya, Mukesh, Kunal and Jaswant
(d) Shobha, Tanya, Rohit and Mukesh

Ans. (c) The most acceptable group of people = Tanya, Mukesh, Kunal and Jaswant.

Directions for the following 3 (three) items :

Examine carefully the following statements and answer the three items that follow :

Out of four friends A,B,C and D .

A and B play football and cricket.

B and C play cricket and hockey

A and D play basketball and football

C and D play hockey and basketball